

8.2 EXCHANGE RATES

MARKING SCHEME

|                     |                          |                          |                           |                          |
|---------------------|--------------------------|--------------------------|---------------------------|--------------------------|
| 1990/CE/II/38<br>B  | 1998/CE/II/48<br>B       | 2010/CE/II/50<br>D (70%) | 2018/DSE/II/45<br>D (57%) | 2006/CE/II/47<br>C (63%) |
| 1990/CE/II/43<br>A  | 2003/CE/II/47<br>B (67%) | 2012/DSE/I/39<br>C (37%) | 1993/CE/II/33<br>C        | 2009/CE/II/50<br>D (29%) |
| 1991/CE/II/51<br>B  | 2004/CE/II/48<br>C (66%) | 2013/DSE/I/37<br>D (52%) | 1993/CE/II/36<br>D        | 2013/DSE/I/40<br>C (70%) |
| 1993/CE/II/55<br>A  | 2005/CE/II/49<br>C (52%) | 2014/DSE/I/42<br>B (59%) | 1996/CE/II/52<br>D        | 2015/DSE/I/42<br>C (62%) |
| 1993/CE/II/57<br>D  | 2007/CE/II/49<br>D (49%) | 2016/DSE/I/44<br>A (52%) | 1999/CE/II/49<br>C        | 2017/DSE/I/45<br>D (40%) |
| 1995/CE/II/55<br>B  | 2008/CE/II/50<br>A (37%) | 2016/DSE/I/45<br>D (56%) | 2000/CE/II/52<br>A        | 2019/DSE/I/45<br>C       |
| 1997/CE/II/54<br>B  | 2009/CE/II/49<br>B (84%) | 2017/DSE/I/44<br>A (69%) | 2001/CE/II/46<br>D        | 2020/DSE/I/44<br>A       |
| 2020/DSE/II/45<br>B | 2021/DSE/I/45<br>A       | 2022/DSE/I/45<br>D       | 2024/DSE/II/45<br>C       | 2025/DSE/II/45<br>A      |

1992/CE/II/2(c)

Depreciation of HK\$

⇒ import prices/cost of imported raw materials (in HK\$)↑

(2)

⇒ unit cost of production ↑

(2)

1998/CE/II/11(b)

Price of Japanese cars (quoted in HK\$) falls.

(1)

⇒ an increase in the quantity demanded for Japanese cars

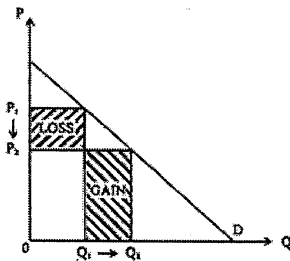
(1)

Elastic demand means the % change in quantity demanded is larger than the % change in price.

(2)

⇒ sales revenue increases (i.e. revenue loss < revenue gain)

(1)



Indicate in the diagram:

- P ↓ and Qd ↑

(1)

- Correct position of 'Gain' and 'Loss'

(1)

1999/CE/I/9(b)

The devaluation  $\Rightarrow$  price (in HK\$) of Japanese cars  $\downarrow$  ( $\Rightarrow$  quantity of Japanese cars demanded  $\uparrow$ )

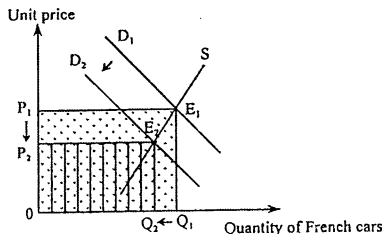
Japanese cars and French cars are substitutes

$\therefore$  demand for French cars  $\downarrow$

$\Rightarrow$  both the equilibrium price and quantity of French cars  $\downarrow$

$\Rightarrow$  sales revenue of French cars  $\downarrow$  (from  $0P_1E_1Q_1$  to  $0P_2E_2Q_2$ )

(1)  
(1)  
(1)  
(1)+(1)  
(1)



Indicate in the diagram:

- D shifts to the left
- P  $\downarrow$  and Q  $\downarrow$
- TR  $\downarrow$  (area  $P_1E_1Q_1Q_2E_2P_2$ )

(1)  
(1)  
(1)

1999/CE/I/10(d)

HK\$ appreciates against these Asian currencies.

$\Rightarrow$  these Asian countries' exports become relatively cheaper than HK exports in the US market.

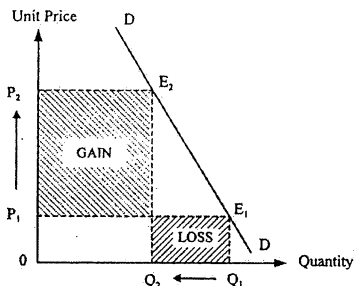
$\Rightarrow$  as there are (cheaper) substitutes, demand for HK exports  $\downarrow$

$\Rightarrow$  derived demand for labour in HK's export sector  $\downarrow$ , so HK's unemployment is very likely to increase.

(1)  
(1)  
(2)  
(2)

(Note: In the context of AD-AS, you may argue that a decrease for HK's exports will lead to a decrease in Hong Kong's aggregate demand, which would result in a (larger) deflationary gap. It represents the existence of (more) unemployed workers in the factor market.)

2002/CE/I/12(a)(ii)



Indicate in the graph:

- selling price  $\uparrow$  and quantity demanded  $\downarrow$
- gain  $>$  loss

(1)  
(2)

Verbal explanation:

The selling price increases (due to the depreciation of the HK\$ against the British Pound).

The quantity demanded decreases.

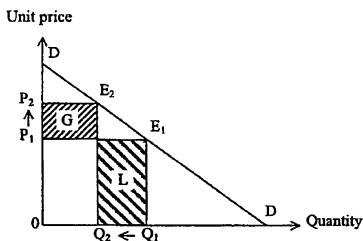
The percentage change in quantity demanded is smaller than the percentage change in price.

Total revenue increases.

(1)  
(1)  
(1)  
(1)

2004/CE/I/11(b)

- (i) Increase, because  
HK\$ depreciates against the Euro dollar under the linked exchange rate system. (1)
- (ii) (The rise in price leads to) a fall in quantity demanded. (1)  
Elastic demand for imports (1)  
% change in  $P <$  % change in  $Q_d$  (2)

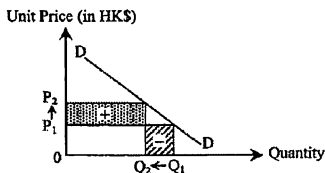


Indicate in the diagram:

- gain in total import value ( $G$ ) < loss in total import value ( $L$ ) (2)

2006/CE/I/10

- (a) (i) Increased, because  
Euro appreciated against the Hong Kong dollar. (1)
- (ii) With an increase in import price in terms of HK\$, the quantity of imported cars decreased. (1)  
If demand is inelastic, % change (increase) in  $P >$  % change (decrease) in  $Q_d$ . (2)



Indicate in the diagram:

- $P \uparrow$  and  $Q_d \downarrow$  (1)  
- Correct position of 'Increase' and 'Decrease' in total expenditure (1)  
- 'Increase' > 'Decrease' (1)

- (iii) In terms of £, the total value of imported cars from Europe decreased, because  
the volume of imports decreased while the price of imported cars in terms of £ remained unchanged. (1)

- (b) (i)  $\$(9.37 - 9.07) \times 10\,000$  (1)  
= \$3 000. He gained \$3 000. (1)

- No, because (1)  
the capital gain does not involve production. (1)

2008/CE/I/11(a)

Import price increases as a result of revaluation and the import quantity decreases.

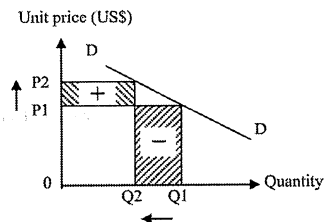
Condition: elastic demand

% change in price < % change in quantity demanded

(1)

(1)

(2)



Indicate in the diagram:

- price increases and quantity decreases

- correct position of 'increase in import value' and 'decrease in import value'

- area of 'increase in import value' < area of 'decrease in import value'

(1)

(1)

(1)

2010/CE/I/8

(a) increased

(1)

(b) uncertain

(1)

(c) increased

(1)

2012/DSE/II/8

No, because

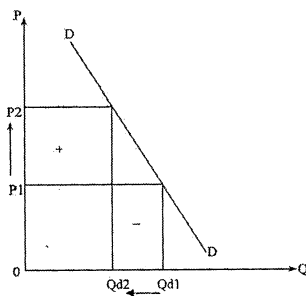
if the demand for import is inelastic, the import value will not decrease

as the percentage increase in price will be greater than percentage decrease in quantity demanded.

(1)

(1)

(2)



Indicate in the diagram:

-  $P \uparrow$  and  $Q_d \downarrow$

- 'gain in import value' > 'loss in import value'

(1)

(1)

2014/DSE/II/11(a)

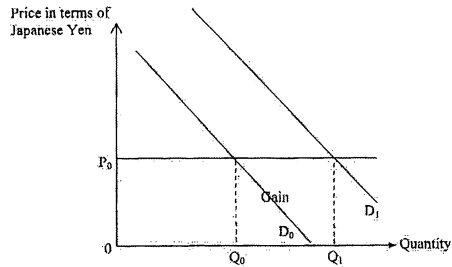
Japanese Yen depreciated against Hong Kong dollar.

As the price of Japanese automobiles does not change, the automobiles become cheaper in terms of HKD and Hong Kong importers will buy more Japanese automobiles. (1)

The demand for Japanese automobiles by HK people increases. (1)

Quantity transacted increases. (1)

(Therefore, total export value of Japanese automobiles increases.)



Indicate on the diagram:

- demand curve shifts to the right
- a higher quantity transacted
- gain in total value

(1)

(1)

(1)

2018/DSE/II/12(d)

During 2015-16, RMB depreciated against USD. Under HK's linked exchange rate system, the value of HKD would follow that of USD, so RMB depreciated against HKD as well.

Depreciation of RMB implies that goods in HK became more expensive in terms of RMB. Therefore fewer mainland tourists would come to HK (, and those who came would spend less in HK).

As mainland visitors were the major source of tourists in HK, a significant drop in "total tourism expenditure associated to inbound tourism" would result. (6)

## (c) Marks award for effective communication (EC: max 2 marks)

| Marks | Performance                                                                                                                                                                                                                                                                                                                                                            |
|-------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2     | <ul style="list-style-type: none"> <li>● Support arguments with the source/data and appropriate economic theories.</li> <li>● Present relevant material.</li> <li>● Present well-organised and coherent answers without repetition of ideas.</li> <li>● Use language that expresses ideas clearly and fluently with appropriate use of words/terms/symbols.</li> </ul> |
| 1     | <ul style="list-style-type: none"> <li>● Present arguments with some support of the source/data and economic theories.</li> <li>● Present some irrelevant material.</li> <li>● Present answers in a less organised way with some repetition.</li> <li>● Use language that conveys a clear message with some inappropriate use of words/terms/symbols.</li> </ul>       |
| 0     | <ul style="list-style-type: none"> <li>● Present arguments with no support of the source/data and economic theories.</li> <li>● Present material unrelated to the gist of the question.</li> <li>● Present inconsistent arguments.</li> <li>● Express limited ideas with inappropriate use of words/terms/symbols.</li> </ul>                                          |

The maximum marks for content is 11 marks. Answers may include the following:

Effects on aggregate output:

- Re-exports drops, AD drops, and aggregate output drops.
- The stock prices drop and people's wealth drops, consumption drops, and aggregate output drops.
- Some trading firms may consider moving away from Hong Kong to other countries in order to escape from the tariffs/ explore new markets. SRAS drops and aggregate output drops in the future.

Effects on tax revenue:

- Profits tax revenue will drop because some logistic/trading firms suffer and profits drop.
- Income tax revenue will drop as aggregate output and the average household income fall.
- Revenue from stamp duty may drop as the stock market crash may lower the volume of trade in the stock market.

Effects on other variables:

- Unemployment rate may increase as production drops and demand for labour is reduced as firms move away from Hong Kong. The unemployed population increases while the labour force remains unchanged.
- HKD may appreciate against RMB as Chinese government may lower the exchange rate of RMB to lessen the effect of the tariff on exported goods/ there may be large capital outflow from China.
- Government spendings may increase as the government may need to grant subsidy or loans to the affected firms and/or provide unemployment benefits to the jobless.

2021/DSE/II/5

(a) (i) No, because the salary received by Mr Chan was derived from production by a non-resident producing unit (the UK football club) outside Hong Kong. (2)

(ii) Yes. As Mr Chan is a Hong Kong resident, the salary he received would be counted as factor income from abroad. (3)

(b) USD, because the exchange rate of USD to HKD, thus the purchasing power of USD in Hong Kong, is more stable under the linked exchange rate. In other words, USD involves lower exchange-rate risk for Mr Chan. (2)

OR

GBP, because GBP is the legal tender in the UK, so he can use GBP directly to buy goods and services during his stay in the UK.

2022/DSE/II/4b

(b) Devaluation of local currency (e.g., Country B) against its trading partner (e.g., Country C) would drive up the price of imported goods in terms of local currency, thus reducing its quantity demanded by local people (i.e., import volume). If import demand is elastic, then total import expenditure/value would fall (like in the tariff case analysed in part (a)). (2)

2023/DSE/II/9

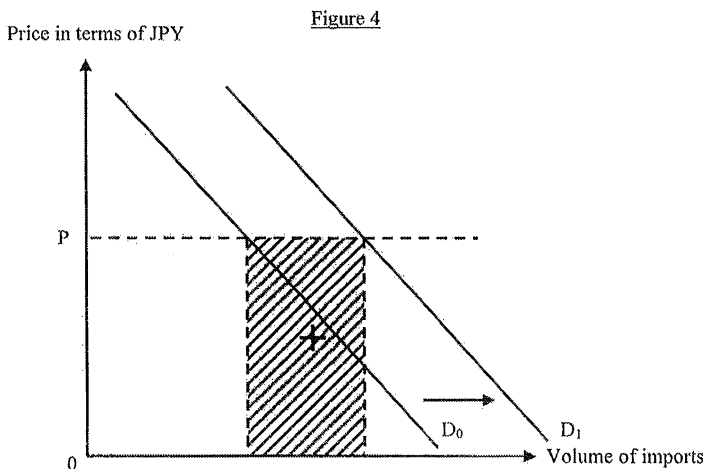
(a) Figure 2 shows that JPY depreciated against USD. Under the Linked Exchange Rate System, JPY would also depreciate against HKD. (1)

(b) Verbal elaboration:

- Import price in terms of HKD decreases. (1)
- At any given price in terms of JPY, Hong Kong will import more from Japan, i.e. Hong Kong's demand for Japanese imports increases. Import volume increases. Given that the price in terms of JPY remains unchanged, total import value in terms of JPY increases, as shown in the data. (1)

Indicate in diagram:

- rightward shift of D curve (1)
- correct position of increase in total import value (+) (1)



2024/DSE/II/13(b, d)

- (b) Source B shows that the USD appreciated against the RMB during the period. Under the Linked Exchange Rate System of Hong Kong, HKD would also appreciate against RMB. (1)  
 As HKD appreciated against RMB, prices of goods and services in the Mainland dropped in terms of HKD (assuming that their prices in RMB remained unchanged). The money cost for Hong Kong residents to visit the Mainland would drop. (1)  
 As a result, the number of Hong Kong residents visiting the Mainland would increase. (1)

(d) Marks for effective communication (EC: max 2 marks)

| Marks | Performance                                                                                                                                                                                                                                                                                                                                                            |
|-------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2     | <ul style="list-style-type: none"> <li>● Support arguments with the source/data and appropriate economic theories.</li> <li>● Present relevant material.</li> <li>● Present well-organised and coherent answers without repetition of ideas.</li> <li>● Use language that expresses ideas clearly and fluently with appropriate use of words/terms/symbols.</li> </ul> |
| 1     | <ul style="list-style-type: none"> <li>● Present arguments with some support of the source/data and economic theories.</li> <li>● Present some irrelevant material.</li> <li>● Present answers in a less organised way with some repetition.</li> <li>● Use language that conveys a clear message with some inappropriate use of words/terms/symbols.</li> </ul>       |
| 0     | <ul style="list-style-type: none"> <li>● Present arguments with no support of the source/data and economic theories.</li> <li>● Present material unrelated to the gist of the question.</li> <li>● Present inconsistent arguments.</li> <li>● Express limited ideas with inappropriate use of words/terms/symbols.</li> </ul>                                          |

The maximum mark for content is 12 marks.